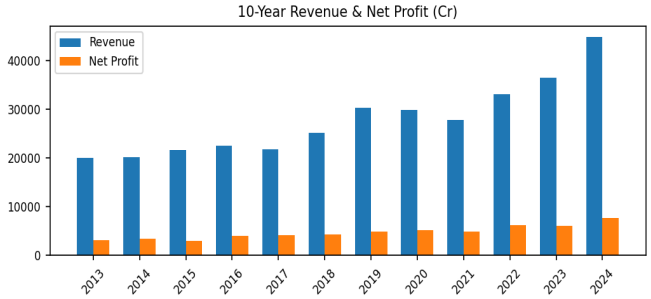
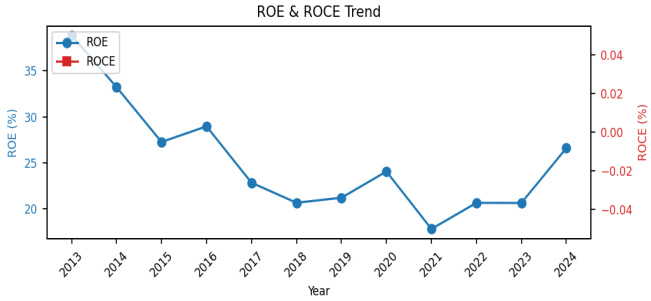
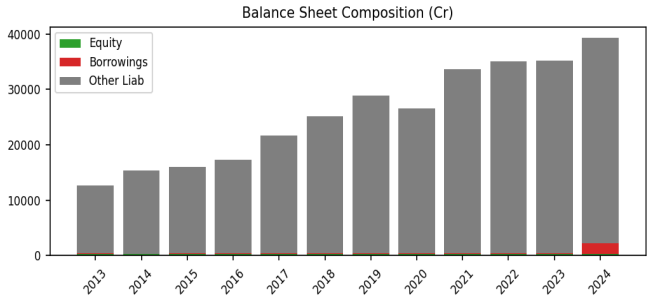
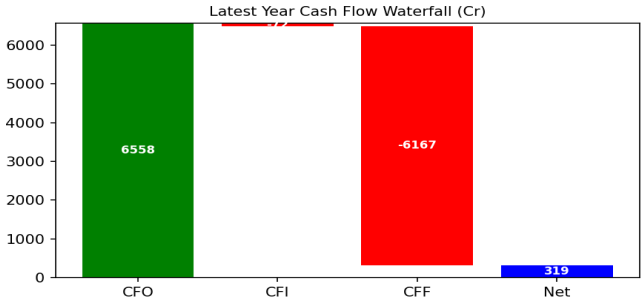
Bajaj Auto Ltd (BAJAJ-AUTO)

Revenue	Net Profit	Total Equity
■4.5T	■7708Cr	■279Cr
ROE	**ROCE**	**D/E**
26.6%	-	0.07x









Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%) • Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)

Capital Allocation Pattern: Reinvestor